

Calendar Line 1

Case Name: McGill v. On-Site aka On-Site Manager, Inc., et al. (Class Action)
Case No.: 19CV338709

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on April 9, 2025, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. Introduction

This is a putative class action. According to the allegations of the operative Fifth Amended Class Action Complaint for Damages and/or Declaratory Relief and/or Injunctive Relief (“FAC”), filed September 16, 2024, plaintiff Lowri McGill (“Plaintiff”) was a resident and tenant at a residential rental property known as Vine by Vintage. (FAC, ¶ 1.) Plaintiff has now vacated the unit. (Ibid.)

Defendants Woodstone by Vintage, L.P. (“Woodstone”), Hearthstone Housing Foundation (“HHF”), (collectively, “Defendants”) are allegedly the owners, operators, and managers of Vine by Vintage. (FAC at ¶ 2.) Plaintiff alleges that Hearthstone CA Properties I, LLC (“Hearthstone”) is HHF’s alter ego. (*Id.* at ¶ 4.)

Plaintiff alleges that during her tenancy, she was subject to a form lease that contained number of unenforceable provisions. (FAC at 1, 10-11, 14-16.) As is relevant here, paragraph five of the lease allegedly provides that “there is a late fee of \$50 if rent is not paid within 2 days of the due date,” “it is impracticable and extremely difficult to fix the amount of damages suffered by owner,” and the late fee “is ‘reasonable approximation’ of the damages incurred for such breach.” (*Id.* at ¶ 11.) Plaintiff alleges the late fee provision violates Civil Code sections 1671, subdivisions (c) and (d).¹ (Ibid.) Plaintiff further alleges that “[t]he payment of late fees

¹ Civil Code section 1671, subdivisions (b) and (c) provide:

(b) Except as provided in subdivision (c), a provision in a contract liquidating the damages for the breach of the contract is valid unless the party seeking to invalidate the provision establishes that the provision was unreasonable under the circumstances existing at the time the contract was made.

were unfair acts under the Unfair Business Practices Act, Business and Professions Code section 17200, et seq. in that they were unlawful as in Violation of the statutes alleged, the practices were unfair ... in that they violated the law as set forth,” and “[t]he practices were fraudulent, in that tenants would be led to believe that the provisions were enforceable and that the late fee charges were legitimate when they are not.” (FAC at ¶ 24.) Plaintiff allegedly paid late fees pursuant to paragraph of the lease and, therefore, sustained damages. (FAC at ¶ 25.) Based on these allegations, the FAC asserts the following causes of action: (1) Violation of Unfair Business Practices Act for Injunctive Relief and/or Restitution Class Action; (2) Violation of Civil Code section 1671; (3) Violation of Corporations Code section 15904.01 *et seq.*; (4) Promissory Estoppel; and (5) Breach of Contract.

Now before the court is defendant HHF’s demurrer to the entirety of the FAC and each cause of action therein. Plaintiff opposes the demurrer.

II. Requests for Judicial Notice

A. Defendant’s Request

In connection with its demurrer, defendant HHF asks the court to take judicial notice of various court records filed in this action, both in this court and in the Court of Appeal, Sixth Appellate District. These items are attached as Exhibits 1-30 to HHF’s request for judicial notice (“RJN Nos. 1-30”). These items are proper subjects of judicial notice under Evidence Code section 452, subdivision (d), which permits judicial notice of “[r]ecords of any court of this state.” (See *People v. Woodell* (1998) 17 Cal.4th 448, 455 (*Woodell*) [court may take judicial notice of court records but “cannot take judicial notice of the truth of hearsay statements is decisions or court files, including pleadings, testimony, or statements of fact.”].)

(c) The validity of a liquidated damages provision shall be determined under subdivision (d) and not under subdivision (b) where the liquidated damages are sought to be recovered from either:

Accordingly, the court GRANTS the request for judicial notice as to the existence of the court records in question, but not as to the truth of any hearsay statements contained therein.

B. Plaintiff's Request

In connection with its opposition, Plaintiff asks the court to take judicial notice of documents previously filed in this action on January 18, 2022, in connection with defendant Hearthstone's motion for summary adjudication. These items are attached as Exhibit A to Plaintiff's request for judicial notice ("RJN Ex. A"). These items are proper subjects of judicial notice as Evidence Code section 452, subdivision (d), which permits judicial notice of "[r]ecords of any court of this state." (See *Woodell, supra*, 17 Cal.4th at p. 455 [court may take judicial notice of court records but "cannot take judicial notice of the truth of hearsay statements is decisions or court files, including pleadings, testimony, or statements of fact."].)

Accordingly, the court GRANTS the request for judicial notice as to the existence of the court records in question, but not as to the truth of any hearsay statements contained therein.

III. Legal Standard for Demurrer

A demurrer tests the legal sufficiency of the complaint. (*Chen v. PayPal, Inc.* (2021) 61 Cal.App.5th 559, 568.) Consequently, it "reaches only to the contents of the pleading and such matters as may be considered under the doctrine of judicial notice." (*Weil v. Barthel* (1955) 45 Cal.2d 835, 837; see also Code Civ. Proc., § 430.30, subd. (a).) "It is not the ordinary function of a demurrer to test the truth of the plaintiff's allegations or the accuracy with which he describes the defendant's conduct. ... Thus, ... the facts alleged in the pleading are deemed to be true, however improbable they may be." (*Align Technology, Inc. v. Tran* (2009) 179 Cal.App.4th 949, 958, internal citations and quotations omitted.)

In ruling on a demurrer, the allegations of the complaint must be liberally construed, with a view to substantial justice between the parties. (*Glennen v. Allergan, Inc.* (2016) 247

Cal.App.4th 1, 6.) Nevertheless, while “[a] demurrer admits all facts properly pleaded, [it does] not [admit] contentions, deductions or conclusions of law or fact.” (*George v. Automobile Club of Southern California* (2011) 201 Cal.App.4th 1112, 1120.) A demurrer will succeed where the allegations and matters subject to judicial notice clearly disclose a defense or bar to recovery. (*Casterson v. Superior Court* (2002) 101 Cal.App.4th 177, 183.)

IV. Discussion

Defendant HHF demurs to the entire FAC and to all five causes of action on the grounds that the pleading fails to state sufficient facts to constitute a cause of action, pursuant to Code of Civil Procedure, section 430.10, subdivision (e). (Demurrer, p. 2.)

A. Background

HHF initially supports its demurrer with a summary of the proceedings in this action going back to January 2022. (HHF’s Memorandum, pp. 4:2-13.12.) On January 18, 2022, defendant Hearthstone moved for summary adjudication of Plaintiff’s cause of action for violation of California’s Unfair Competition Law (Business and Professions Code, section 17200, *et seq.* (“UCL”)). Plaintiff alleged that Woodstone and Hearthstone violated the UCL by including a void \$50 late rent fee clause in her apartment lease with Woodstone. Hearthstone contended it did not violate the UCL because it was not involved in and had no knowledge of the alleged unlawful practice. On May 27, 2022, Plaintiff filed her fourth amended complaint, formally bringing HHF into the action.

On June 21, 2022, the court (Hon. Patricia M. Lucas) issued an order granting Hearthstone’s motion for summary adjudication of the UCL cause of action. (June 21, 2022 Order Re: Motion for Summary Adjudication (“June 2022 MSA Order”).) As the court explained, Hearthstone presented evidence that it did not participate in the practice of including the late fee provision in tenant contracts or in the collection of late rent fees from tenants. The evidence established that Hearthstone was formed to act as a vehicle to aid low-income rental housing project owners in obtaining a property tax exemption. Hearthstone’s work on the project was limited to monitoring compliance with property tax exemption regulations, and Hearthstone did not participate in the decision to include the late rent fee clause in lease

agreements. Hearthstone also presented evidence that the entities dealing with Woodstone tenants (Woodstone, Woodstone by Vintage Partners, LLC, and FPI Management, Inc.) were not Hearthstone's agents in their dealings with tenants. (*Id.* at pp. 5:27-7:23.)

After finding that Hearthstone met its initial burden, the court rejected Plaintiff's contention that Hearthstone had an affirmative obligation under the law and under Woodstone's limited partnership agreement ("LPA") to stop the alleged unlawful practice. (June 2022 MSA Order, pp. 7:24-8:18) The court also found no merit to Plaintiff's arguments that Hearthstone is liable under an agency or alter ego theory. (*Id.* at pp. 8:19-9:18.) Finally, the court addressed Plaintiff's contention that Hearthstone is liable under Corporation Code section 15904.04, subdivision (a), which imposes joint and severable liability on general partners of a limited partnership. (*Id.* at pp. 9:19-10:3.) The court stated: "Corporations Code section 15904.04, subdivision (a) is not basis on which to deny the motion because Plaintiff failed to allege in the [third amended complaint ("TAC")] that Hearthstone is liable under that statute—despite having had the benefit of [Hearthstone]'s motion for two months before the TAC was filed." (*Ibid.*)

On July 6, 2022, Defendants Woodstone, Hearthstone, and HFF demurred to the TAC's second cause of action for negligence. Defendants argued that a tort duty of care to ensure the legality of a liquidated damages clause was not recognized under California law. Plaintiff countered that a tort duty arises from Civil Code section 1671, relying upon *Beasley v. Wells Fargo Bank* (1991) 235 Cal.App.3d 1383 (*Beasley*), which held that section 1671 codified a right to seek monetary relief from a void liquidated damages clause. On September 28, 2022, the court (Hon. Patricia M. Lucas) issued an order sustaining the demurrer without leave to amend. (September 28, 2022 Order Re: Demurrer to Third Amended Class Action Complaint ("September 2022 Demurrer Order").) The court concluded that a tort duty of care cannot be inferred from Civil Code section 1671 and that *Beasley* holds that a contracting party may seek relief from a "contractual penalty" under section 1671, but not that there is a "tort duty to ensure the legality" of residential lease terms. (*Id.* at pp. 4-5.) The court declined to grant leave to amend because Plaintiff failed to show a reasonable possibility that the defect was curable.

On October 11, 2022, the court entered a judgment in favor of Hearthstone against Plaintiff, noting that no claims remained against Hearthstone after the court granted summary adjudication motion and sustained the demurrer. On February 8, 2023, after Plaintiff filed a notice of appeal from the judgment, the court granted Plaintiff leave to file a fourth amended complaint, which Plaintiff did the following day. On March 14, 2023, the court stayed the action pursuant to the parties' stipulation pending resolution of Plaintiff's appeal.

On February 15, 2024, an unpublished 28-page opinion was filed in the Sixth Appellate District of the Court of Appeal. (RJN No. 30 ("Opinion").) The court found no error by the trial court in granting summary adjudication of Plaintiff's UCL claim. (*Id.* at pp. 12-19.) The court also found no error by the trial court in sustaining Hearthstone's demurrer to the negligence claim. (*Id.* at pp. 19-22.) The court also found no abuse of discretion by the trial court in not granting Plaintiff leave to amend. (*Id.* at pp. 22-28.) The court explained that Plaintiff's proposed fourth amended complaint added four new causes of action: violation of Civil Code section 1671, promissory estoppel, negligent misrepresentation, and breach of contract. (*Id.* at pp. 22-23.) "Each of the new causes of action were premised on the allegedly illegal late rental fee clause." (*Id.* at p. 23.) The court discussed each of the new claims and concluded none of them alleged a valid cause of action against Hearthstone and that Plaintiff failed to show a reasonable possibility that the defects could be cured. (*Id.* at pp. 24-28.) The California Supreme Court denied Plaintiff's petition for review.

B. Demurrer to the FAC

The FAC asserts the following causes of action against Defendant HHF: (1) Violation of Unfair Business Practices Act for Injunctive Relief and/or Restitution Class Action; (2) Violation of Civil Code section 1671; (3) Violation of Corporations Code section 15904.01 *et seq.*; (4) Promissory Estoppel; and (5) Breach of Contract.

Defendant HHF demurs to the entire FAC, contending that the judgment entered in Hearthstone's favor ended Plaintiff's case against HHF as well because HHF is Hearthstone's sole member and manager. (HHF's Memorandum, pp. 4:14-5:9, 13:19-15:6.) HHF argues that the doctrine of issue preclusion (collateral estoppel) compels this court to sustain its demurrer

as to all of the FAC's claims. HHF contends that the law of the case doctrine supports a demurrer as to each of the claims addressed by the Court of Appeal in its Opinion. HHF further argues that, even if the law of the case doctrine does not apply, the appellate court's reasoning itself represents an independent ground on which the court may sustain the demurrer as to those claims. Finally, HHF contends that Plaintiff's allegation that Hearthstone is HHF's alter ego bars her case against HHF too, reasoning that Plaintiff's rights against HHF can be no greater than her rights against Hearthstone. In addition to arguing that the demurrer should be sustained as to the entire FAC for the above reasons, HHF details each of these arguments with respect to each of the FAC's claims. (*Id.* at pp. 15:7-20:17.)

Plaintiff makes four basic arguments in opposition. (Opposition, pp. 8-14.) First, Plaintiff contends that there is no claim preclusion in the scenario set forth by HHF. (*Id.* at pp. 9:10-11:22.) Plaintiff relies upon *Morris v. Bank* (2001) 94 Cal.App.4th 823, for the proposition that claim preclusion (res judicata) does not apply to issues not raised by the complaint and not actually litigated and necessarily decided in the prior litigation. Plaintiff contends that res judicata cannot apply to the second and third causes of action (for violation of Civil Code section 1671 and violation of Corporations Code section 15904.01) because these causes of action have not been decided on their merits. (Opposition, p. 10:8-15.)

Nevertheless, HHF points out in reply that it has not made a claim preclusion (res judicata) argument in support of its demurrer. (Reply, pp. 2:14-3:6.) Indeed, while HHF's memorandum references the doctrine of res judicata and the requirement that of separate or successive suits, it does so to point out that issue preclusion has no such requirement. (HHF's Memorandum, p. 15:17-23.) HHF's only other reference to res judicata is with respect to its applicability to Hearthstone, as it relates to Plaintiff's alter ego theory. (*Id.* at p. 14:4-11.) Accordingly, Plaintiff's res judicata discussion does not respond to HHF's arguments in demurrer and does not provide a sufficiently developed basis to overrule the demurrer.

Second, Plaintiff argues that there is no issue preclusion (collateral estoppel) in the scenario set forth by HHF. (Opposition, pp. 11:23-13:10.) The doctrine of issue preclusion "applies: (1) after final adjudication (2) of an identical issue (3) actually litigated and necessarily decided in ... [a prior proceeding] and (4) asserted against one who was a party in

the ... [prior proceeding] or one in privity with that party.” (*DKN Holdings LLC v. Faerber* (2015) 61 Cal.4th 813, 825 (*DKN*)). It operates to prevent “relitigation of previously decided issues.” (*Id.*, at p. 824.) The defense can be raised by demurrer (*Hernandez v. City of Pomona* (2009) 46 Cal.4th 501, 512, 522) and “by one who was not a party” to the prior proceeding. (*DKN*, *supra*, 61 Cal.4th at p. 824.) While *res judicata* has been held to require separate or successive lawsuits, issue preclusion does not. (*Samara v. Matar* (2017) 8 Cal.App.5th 796, 804, 806-807, *aff’d* on another ground, (2018) 5 Cal.5th 322, 338.²)

Here, HHF contends that the judgment in *Hearthstone’s* favor has issue preclusive effect because it is based on a final adjudication “that *Hearthstone* did not participate in any way in the alleged unlawful practice of including void late rent fee clauses in *Woodstone’s* tenant leases.” (HHF’s Memorandum, pp. 15:24-16:6.) HHF contends this issue was actually litigated and necessarily decided, and that Plaintiff was a party to the proceeding. (*Ibid.*) While Plaintiff presents a summary of legal authority regarding issue preclusion in opposition, she does not explain why the doctrine cannot be applied here. (Opposition, pp. 11:23-13:10.) Instead, she asserts that “the issues do not appear to have been litigated and were expressly precluded from being heard, issue preclusion too does not appear to apply.” (*Id.* at p. 13:9-10.) The court finds this argument unpersuasive, particularly because Plaintiff does not identify which issues she contends do not appear to have been litigated. Accordingly, Plaintiff’s discussion regarding issue preclusion does not provide a sufficiently developed basis to overrule the demurrer.

Third, Plaintiff contends that the doctrine of *res judicata* requires a second suit, and that the case against HHF is not a separate suit and alter ego status was never adjudicated. (Opposition, p. 13:11-26.) Nevertheless, Plaintiff does not dispute HHF’s argument that the final judgment in *Hearthstone’s* favor prevents her from suing *Hearthstone* again in this action, and that the same judgment prevents Plaintiff from suing *Hearthstone* again in a separate matter regarding the late rate fees. (HHF’s Memorandum, pp. 14:4-11; Reply, p. 3:21-24.) It is

² HHF points out that in its affirmance of the Court of Appeal’s opinion in *Samara v. Matar* (2017) 8 Cal.App.5th 796, the California Supreme Court neither approved nor disapproved the appellate court’s holding that claim preclusion requires separate or successive lawsuits. (*Samara v. Matar* (2018) 5 Cal.5th 322, 338.)

evident that Plaintiff is seeking the same relief from HHF that she could not recover from Hearthstone while alleging that Hearthstone's is HHF's alter ego and not disputing that HHF is Hearthstone's sole member and manager. Plaintiff's arguments in opposition are unclear and appear designed to avoid HHF's contention that she is seeking the same relief that she was denied previously without any sufficient basis. Again, the court finds Plaintiff's arguments to insufficient to withstand demurrer.

Finally, Plaintiff argues that the issue of whether the UCL requires more than misfeasance has not been determined for purposes of res judicata. (Opposition, p. 14:1-26.) As the court understands it, Plaintiff contends that "the court should not adjudicate a UCL secondary liability cause against HHF without determining the issue" of "whether a party having secondary or agency status may not have UCL liability for misfeasance except in cases where the underlying law requires scienter on the part of the agent." (*Ibid.*) Plaintiff asserts that no published opinion has ever decided such an issue. (*Ibid.*) Similarly, HHF states it "has not found any published appellate court opinion discussing a fact pattern similar the one involved here." (Reply, p. 5:1-6.) HHF suggests that a possible explanation for the lack of authority is that, when one of two co-defendants obtains a judgment of dismissal on the merits, a plaintiff would not typically then allege that the non-dismissed co-defendant is the alter ego of defendant who was dismissed.

In sum, the court finds merit to HHF's demurrer to the entire FAC for multiple reasons, not the least of which being the law of the case doctrine.

The law of the case doctrine states that when, in deciding an appeal, an appellate court states in its opinion a principle or rule of law necessary to the decision, that principle or rule becomes the law of the case and must be adhered to throughout its subsequent progress, both in the lower court and upon subsequent appeal ..., and this although in its subsequent consideration this court may be clearly of the opinion that the former decision is erroneous in that particular.

(*Kowis v. Howard* (1992) 3 Cal.4th 888, 892-893, internal quotations marks and citations omitted.) The Court of Appeal's reasoning remains applicable here, and HHF presents additional compelling arguments in support of its demurrer. Plaintiff does not discuss the law of the case doctrine in opposition and does not offer any developed and persuasive argument in support of her opposition to the demurrer. In addition, Plaintiff has not shown a reasonable

possibility she can amend her complaint to address the defects identified by the demurrer.
(*Blank v. Kirwin* (1985) 39 Cal.3d 311, 318.)

V. Conclusion

For the foregoing reasons, the demurrer to the FAC is SUSTAINED without leave to amend.

The prevailing party shall prepare the order in accordance with California Rules of Court, rule 3.1312.

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Calendar Line 2

Case Name: Gatchalian v. CKS Prime Investments, LLC, et al. (Class Action)
Case No.: 21CV391898

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on April 9, 2025, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. Introduction

This is a putative class action arising from alleged unlawful debt collection practices. On December 14, 2021, plaintiff Harriet Gatchalian (“Plaintiff”) began this action by filing a class action complaint.

On July 23, 2024, Plaintiff the operative second amended class action complaint (“SAC”) against defendants: CKS Prime Investments, LLC (“CKS”), Webcollex, LLC (“Webcollex”), Cawley & Bergmann, LLC (“C&B”), National Recovery Associates, Inc. (“NRA”), and Balbec Capital, LP (“Balbec”) (collectively, “Defendants”). The SAC asserts the following causes of action: (1) violation of Business and Professions Code section 17200 (against CKS, Balbec, and Webcollex); (2) violation of the California Fair Debt Buying Practices Act (“CFDBPA”) (against CKS, Balbec, and Webcollex); and (3) violation of the Rosenthal Fair Debt Collection Practices Act (“RFDCPA”) (against all Defendants).

On August 22, 2024, Defendant NRA filed a demurrer to the third cause of action in Plaintiff’s SAC. On November 22, 2024, the court issued an order overruling NRA’s demurrer.

On December 6, 2024, Defendant Balbec filed a motion for sanctions, seeking (among other things) nonmonetary sanctions in the form of a dismissal. The motion is currently scheduled to be heard on April 30, 2025.

Now before the court is Plaintiff’s motion for class certification. Defendants C&B and NRA have submitted a joint opposition to the motion, and Defendants CKS and Balbec have submitted a separate joint opposition to the motion. Plaintiff has submitted a reply.

II. Motion for Class Certification